



هيئة تنظيم
مركز قطر للمال
QATAR FINANCIAL CENTRE
REGULATORY AUTHORITY

Investment Token (Miscellaneous Amendments) Rules 2024

QFCRA Rules 2024-3

The Board of the Qatar Financial Centre Regulatory Authority makes the following rules, and gives the following guidance, under the *Financial Services Regulations*.

Dated

26 June 2024.

H.E. Sheikh Bandar bin Mohammed bin Saoud Al-Thani
Chairman



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Investment Token (Miscellaneous Amendments) Rules 2024

QFCRA Rules 2024-3

made under the

Financial Services Regulations

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1.1.1 Name of Rules

These Rules are the *Investment Token (Miscellaneous Amendments) Rules 2024*.

1.1.2 Commencement

These Rules commence on 1 September 2024.

1.1.3 Amendment

These Rules amend the Rules in Schedules 1 to 6.

1.1.4 Explanatory notes

An explanatory note in these Rules is not part of these Rules.

Schedule 1 Anti-Money Laundering and Combating the Financing of Terrorism Rules 2019

(see r 1.1.3)

Explanatory note

The amendments in this Schedule require token service providers that are not also financial institutions to comply with the requirements of the AML/CFT Rules in the same way as designated non-financial businesses or professions (DNFBPs). If a token service provider is a financial institution, it must comply with the AML/CFT Rules in the same way as any other such institution. The amendments also apply the wire transfer rule to transfers of tokens.

[1.1] Rule 1.3.1

substitute

1.3.1 What is a *firm*?

A *firm* is a financial institution, a DNFBP or a designated TSP.

[1.2] After rule 1.3.3

insert

1.3.3A What is a *designated TSP*?

(1) A *designated TSP* is:

- (a) a validator;
- (b) a token generator;
- (c) a token custodian;
- (d) a token exchange; or
- (e) a token transfer service provider,

but does not include a TSP that is a financial institution.

Note If a TSP is an authorised firm, or otherwise falls within rule 1.3.2, the TSP is a financial institution and these Rules apply to the TSP as they apply to all financial institutions.

(2) *TSP* has the same meaning as in the QFCA Rules.

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- (3) ***Validator, token generator, token custodian, token exchange*** and ***token transfer service provider*** have the same meanings as in the Digital Asset Regulations 2024.

[1.3] After rule 3.3.11

insert

3.3.11A Application of wire transfer rules to token transfers

- (1) Rules 3.3.10 and 3.3.11 apply to the transfer of a token by a firm on behalf of a person (the originator) to another firm that receives the token on behalf of another person (the recipient), with the following modifications:
- (a) the firm acting on behalf of the originator is to be treated as if it were an ordering financial institution and the firm acting on behalf of the recipient is to be treated as if it were a beneficiary financial institution (but this does not mean that either firm is to be treated as a financial institution for the purposes of rule 3.3.10 (4) unless the firm is in fact a financial institution);
 - (b) references to an intermediary financial institution are to be read as including any firm acting as an intermediary in relation to the token transfer;
 - (c) the transfer of the token is to be treated as if it were a transaction with a view to making an amount of money available to the recipient, and references to making an amount of money available are to be read as references to the transfer of the token;
 - (d) references to a transaction of less than, or more than, QR 3500, are to be read as references to a transfer of a token with a market value of less than, or more than, QR 3500;
 - (e) references to a person's account number include a person's unique identifier on the token infrastructure on which the transfer is carried out.
- (2) If a firm receives a token on behalf of a recipient directly from an originator, the firm must be provided with full originator information in a message or form accompanying the transfer. If full originator information is not received, the firm must:

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- (a) either:
- (i) reject the transfer;
 - (ii) if it is not possible to reject the transfer, take any steps necessary in order to ensure that the transfer is not effective; or
 - (iii) obtain the missing or incomplete information from the originator; and
- (b) using a risk-sensitive approach, decide whether a suspicious transaction report should be made to the FIU.

Examples for paragraph (a)(ii)

- Transfer the token back to the originator
 - Make a transfer to the originator that has the effect of, as far as is possible, reinstituting the position that existed prior to the transfer by the originator
 - Take the steps necessary to ensure the beneficiary does not have access to, and is unable to benefit from, the token
- (3) If a firm transfers a token on behalf of an originator directly to a recipient, the firm must conduct CDD for both the originator and the recipient. But a firm needs only to conduct CDD once for an originator.
- (4) For the application of rules 3.3.10 and 3.3.11 to a token transfer under subrule (1) and for subrule (3):

full originator information includes details of the purpose of the transfer; and

full recipient information includes the recipient's address, national identity number, or date and place of birth.

- (5) **Token** and **token infrastructure** have the same meanings as in the Digital Asset Regulations 2024.

Schedule 2 Collective Investment Scheme Rules 2010

(see r 1.1.3)

[2.1] After rule 1.3.12

insert

1.3.12A Tokenised schemes and token investing schemes

- (1) A QFC scheme, or a subscheme of a QFC umbrella scheme, is a ***tokenised scheme*** if any of the units in the scheme or subscheme are investment tokens.
- (2) A QFC scheme, or a subscheme of a QFC umbrella scheme, is a ***token investing scheme*** if the scheme's, or subscheme's, constitutional document states that it is an object of the scheme to invest in tokens.

Note 1 ***Subscheme*** is defined in r 1.2.11. ***Constitutional document*** is defined in r 3.1.1.

Note 2 A tokenised scheme or token investing scheme may be a particular type of scheme such as an Islamic fund, money-market fund, feeder fund, fund of fund or property fund if the scheme falls within the definition of such a scheme.

Note 3 A QFC scheme may in some cases satisfy the criteria for both a tokenised scheme and a token investing scheme. In that case, the relevant requirements attaching to both types of QFC scheme would need to be satisfied.

Note 4 The fact that a scheme is a tokenised scheme or a token investing scheme (or both) does not affect any requirements on the scheme applicable by virtue of the nature of the underlying of any tokenised fund units or tokens held, or proposed to be held, as scheme property. The scheme must comply with those requirements.

Explanatory note

This amendment sets out when a scheme is a tokenised scheme and when it is a token investing scheme.

[2.2] Rule 5.2.3 (3) (b) and (c)

substitute

- (b) if the scheme is a retail scheme other than a REIT—Schedule 4 (Prospectus content—QFC retail schemes);

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- (c) if the scheme is a REIT—Schedule 5 (Prospectus content—REITs); and
 - (d) if the scheme is a tokenised scheme or a token investing scheme—Schedule 6 (Additional prospectus content—tokenised schemes and token investing schemes).

Explanatory note

This amendment requires a tokenised scheme or a token investing scheme to have a prospectus which includes the additional content set out in new Schedule 6 of COLL.

[2.3] After rule 8.9.2 (4)

insert

- (5) The operator of a QFC scheme must ensure that the name of the scheme, or of a class of units, does not state or imply that the scheme is a tokenised scheme unless the scheme is a tokenised scheme.

Note **Tokenised scheme** is defined in r. 1.3.12A (1).

- (6) The operator of a QFC scheme must ensure that the name of the scheme, or of a class of units, does not state or imply that the scheme is a token investing scheme unless the scheme is a token investing scheme.

Note **Token investing scheme** is defined in r. 1.3.12A (2).

Explanatory note

This amendment prohibits schemes, or units in a scheme, from having names which state, or imply, that the schemes are tokenised schemes or token investing schemes when they are not.

[2.4] After Schedule 5

insert

Schedule 6 Additional prospectus content—tokenised schemes and token investing schemes

(see r 5.2.3 (3) (d))

S6.1 Document status

A statement that the document is a prospectus for a tokenised scheme or a token investing scheme (or both).

S6.2 Tokenised schemes – extent of tokenisation

If the scheme is a tokenised scheme, a statement of the percentage of units in the scheme that are investment tokens or intended to be investment tokens.

S6.3 Token investing schemes – amount of investment in tokens

If the scheme is a token investing scheme, a statement of the percentage of the scheme property held, or intended to be held, as tokens.

S6.4 Description of tokens

A description of:

- (a) in the case of a tokenised scheme, the underlying represented by the tokenised units;
- (b) in the case of a token investing scheme, the tokens held, or proposed to be held, as scheme property.

S6.5 Description of token infrastructure

A description of the token infrastructure on which the tokenised units, or tokens held as scheme property, are stored, including:

- (a) details of any licences issued by the QFC Authority to token generators who generate tokens on the token infrastructure;
- (b) a description of the governance arrangements relating to the token infrastructure;
- (c) an explanation of the potential risks associated with use of the token infrastructure, including the cyber-attack risks and risks of loss of tokens; and
- (d) a description of the measures taken to mitigate those risks.

S6.6 Description of listing and trading facilities and settlement procedures etc.

Where the tokenised units, or tokens held as scheme property, may be listed and traded on an exchange or other similar facility or platform, a description of that exchange, facility or platform including:

- (a) details of the person responsible for its operation;
- (b) whether transactions on the exchange, facility or platform use any form of self-executing contracts and, if so, a description of the operation of those contracts; and
- (c) a description of the settlement procedures including any netting arrangements, the role of any central counterparty and an explanation of when settlement finality occurs.

S6.7 Custody of tokens

A description of the manner in which, and by whom, tokenised units, or tokens held as scheme property, are to be held, including:

- (a) who provides any custody services; and
- (b) a description of the risks associated with custody of tokens, such as the consequences of loss of cryptographic keys (private and public), hacking of hot wallets, loss, theft or destruction of cold wallets and whether and how such risks are addressed.

S6.8 Technology declaration

A declaration that any token infrastructure on which the tokenised units, or tokens held as scheme property, are stored has been developed with due regard to any token technology guidance published by the Qatar Financial Centre Authority under article 11 of the Digital Asset Regulations 2024.

Explanatory note

This amendment sets out the additional content that must be contained in the prospectus for a tokenised scheme or a token investing scheme.

[2.5] Glossary

at the appropriate places insert

token and ***investment token*** have the same meanings as in the Investment Token Rules 2024.

tokenised has the same meaning as in the Digital Asset Regulations 2024.

token infrastructure has the same meaning as in the Investment Token Rules 2024.

token investing scheme has the meaning given by rule 1.3.12A (2).

tokenised scheme has the meaning given by rule 1.3.12A (1).

underlying has the same meaning as in the Digital Asset Regulations 2024.

Schedule 3 Customer and Investor Protection Rules 2019

(see r 1.1.3)

[3.1] After rule 4.2.4 (1) (g)

insert

- (ga) if the advertisement is about a regulated activity involving investment tokens, it is clear about the nature of the investment tokens to which the advertisement relates and it contains information about the risks of investing in investment tokens and storing and transferring tokens on token infrastructure;

Explanatory note

This amendment requires any advertisement about a regulated activity involving investment tokens to be clear about the tokens concerned and the risks of investing in investment tokens.

[3.2] After 4.2.4 (2)

insert

- (3) An authorised firm must not make or approve an advertisement stating, or implying, that it carries out a regulated activity involving investment tokens if the tokens are not investment tokens.
- (4) If an authorised firm makes or approves an advertisement about tokens that are not investment tokens, the advertisement must be clear that:
- (a) the tokens are not investment tokens; and
 - (b) any activity relating to them is not carried out under an approval or authorisation from the Regulatory Authority.

Note Article 9 (2) of the *Digital Asset Regulations 2024* specifies certain tokens as **excluded tokens**. Article 18 of those Regulations sets out the token services that may be carried on in or from the QFC in relation to tokens and prohibits any such service from being carried on in relation to excluded tokens. That prohibition applies to an authorised firm as it does to any licensed firm in the QFC.

- (5) In this rule, **investment token**, **token** and **token infrastructure** have the same meanings as in the Investment Token Rules 2024.

Explanatory note

This amendment requires advertisements not to state, or imply, that a firm carries out activity involving investment tokens if the tokens are not investment tokens and requires any advertisement about such other tokens to be clear that they are not investment tokens.

[3.3] After rule 4.4.3

insert

4.4.4 Initial disclosure documents – firms dealing with investment tokens

- (1) This rule applies to an authorised firm which carries out:
 - (a) any of the following activities in relation to an investment token:
 - (i) operating an investment token exchange;
 - (ii) clearing and settling transactions in investment tokens;
Note These services are designated as regulated activities for FSR, article 23 by rule 2.1.4 of the *Investment Token Rules 2024*.
 - (iii) providing custody services in relation to investment tokens;
Note See rule 2.1.5 of the *Investment Token Rules 2024* for provision about what constitutes providing custody services in relation to investment tokens.
 - (b) dealing in investments which are investment tokens; or
 - (c) arranging deals in investments which are investment tokens.
- (2) Such a firm's initial disclosure document must include the following information:
 - (a) details of the characteristics of the investment tokens in relation to which the firm provides services, including details of the token underlyings;
 - (b) details about the issuer of the investment tokens, and any guarantor, including their assets, liabilities and financial position;
 - (c) if the investment tokens are traded, settled or cleared on an exchange or other facility or platform, details of that exchange, facility or platform, including:

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- (i) details of the jurisdiction in which it is situated;
 - (ii) whether the customer can directly access the exchange, facility or platform; and
 - (iii) the process for accessing it;
 - (d) an explanation of the risks associated with using token infrastructure, including any particular risks associated with the token infrastructure on which the investment tokens may be issued, transferred or stored; and
 - (e) details as to how a customer may exercise rights associated with the customer's investment tokens.

Example

If the underlying of an investment token is company shares which have voting rights, the disclosure document must explain how the customer exercises their voting rights associated with those shares.

Guidance

An explanation of the risks associated with token infrastructure ought to include an explanation of the risks of using digital wallets, such as the risks of a wallet being hacked if it is an online (or "hot") wallet and the risks of it being lost or corrupted in the case of an offline (or "cold") wallet.

- (3) In this rule:
 - (a) ***investment token*** and ***token infrastructure*** have the same meanings as in the Investment Token Rules 2024; and
 - (b) ***underlying*** has the same meaning as in the Digital Asset Regulations 2024.

Explanatory note

This amendment requires firms carrying out certain regulated activities involving investment tokens to provide customers with certain information relating to the tokens in the initial disclosure document.

Schedule 4 General Rules 2005

(see r 1.1.3)

Explanatory note

The amendments in this Schedule impose the same fees as are imposed on DNFBPs on token service providers who are subject to the AML/CFT Rules in the same way as DNFBPs.

[4.1] Rule 10.1.1 (2)

substitute

- (2) Parts 10.7 and 10.8 also apply to a DNFBP and a designated TSP.

[4.2] Glossary, after the definition of *decrease control*

insert

designated TSP has the meaning given by rule 1.3.3A of the *Anti-Money Laundering and Combating the Financing of Terrorism Rules 2019*.

Schedule 5 Investment Management and Advisory Rules 2014

(see r 1.1.3)

[5.1] After rule 6.1.10

insert

6.1.10A Systems and controls in relation to custody investments that are investment tokens

- (1) This rule applies to an INMA firm that holds or controls custody investments in the form of investment tokens.

Note On the meaning of holding or controlling investment tokens, see rule 2.1.5 of the Investment Token Rules 2024.

- (2) A firm to whom this rule applies must have systems and controls:
- (a) to ensure that any token infrastructure it uses is resilient, reliable and compatible with the exchange or other facility or platform on which the investment tokens are traded, settled or cleared;
 - (b) to clearly segregate each client's investment tokens;
 - (c) appropriate to enable the firm to confirm client instructions relating to investment tokens and act on them accurately and promptly;
 - (d) to ensure that any token infrastructure and other technology used by the firm:
 - (i) adequately addresses any compatibility issues and associated risks, including the risk that such technology is not compatible with the procedures and protocols of any exchange or other facility or platform on which the investment tokens are traded, settled or cleared; and
 - (ii) includes adequate security measures to enable the safe storage and transmission of data relating to investment tokens and to protect the security and integrity of cryptographically stored keys or other method for encrypting tokens.

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- (3) A firm that is treated as holding or controlling investment tokens by virtue of rule 2.1.5 (3) of the Investment Token Rules 2024 must have systems and controls to ensure that the power to transfer a token:
 - (a) is controlled by the client; and
 - (b) is not exercised in a manner that prejudice's the client's ownership rights in the token and its underlying as provided by article 13 of the Digital Asset Regulations 2024.
 - (4) In this rule:
 - (a) **investment token, token** and **token infrastructure** have the same meanings as in the Investment Token Rules 2024; and
 - (b) **underlying** has the same meaning as in the Digital Asset Regulations 2024.

Explanatory note

This amendment imposes requirements to have certain additional systems and controls on a firm that provides custody services in relation to investment tokens.

[5.2] Rule 6.1.13 (2) (f)

substitute

- (f) the custodian's regulatory status and history;
 - (g) where the custodian is to hold or safeguard investments in the form of investment tokens, whether the custodian has the systems and controls referred to in rule 6.1.10A (2).
- (3) In this rule, **investment token** has the same meaning as in the Investment Token Rules 2024.

Explanatory note

This amendment requires a firm, when assessing the suitability of another entity (referred to in INMA as an **eligible custodian**) to hold custody investments for the firm in the form of investment tokens, to have regard to whether the eligible custodian has the systems and controls imposed on firms providing custody services as set out in the previous amendment.

Schedule 6 Professional Investors Fund Rules 2022

(see r 1.1.3)

[6.1] After rule 5.2.2

insert

5.2.2A Tokenised funds and token investing funds – additional matters to be included in offer document

- (1) If a professional investor fund is a tokenised fund or a token investing fund, the offer document for the fund must also include the statements and provisions required by Schedule 2A.
- (2) For these Rules, a professional investor fund is:
 - (a) a **tokenised fund** if any of the units in the fund are investment tokens;
 - (b) a **token investing fund** if the fund's constitutional document states that it is an object of the fund to invest in tokens.
- (3) In these Rules:
 - (a) **investment token** and **token** have the same meanings as in the Investment Token Rules 2024; and
 - (b) **tokenised** has the same meaning as in the Digital Asset Regulations 2024.

Note The fact that a fund is a tokenised fund or a token investing fund (or both) does not affect any requirements on the fund applicable by virtue of the nature of the underlying of any tokenised fund units or tokens held, or proposed to be held, as fund property. The fund must comply with those requirements.

Explanatory note

This amendment sets out when a fund is a tokenised fund or a token investing fund and requires those funds to have an offer document which includes the additional content set out in new Schedule 2A of PROF.

[6.2] After Schedule 2

insert

Schedule 2A Additional offer document content – tokenised funds and token investing funds

(see r 5.2.2A)

SA.1 Definitions

In this Schedule:

- (a) ***token infrastructure*** has the same meaning as in the Investment Token Rules 2024; and
- (b) ***underlying*** has the same meaning as in the Digital Asset Regulations 2024.

S2A.2 Type of fund

The offer document must include a statement that the fund is a tokenised fund or a token investing fund (or both).

S2A.3 Tokenised funds – extent of tokenisation

If the fund is a tokenised fund, the offer document must include a statement as to the percentage of units in the fund that are investment tokens or intended to be investment tokens.

S2A.4 Token investing funds – amount of investment in tokens

If the fund is a token investing fund, the offer document must include a statement as to the percentage of the fund property held, or intended to be held, as tokens.

S2A.5 Description of tokens

The offer document must include a description of:

- (a) in the case of a tokenised fund, the underlying represented by the tokenised units;

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- (b) in the case of a token investing fund, the tokens held, or proposed to be held, as fund property.

S2A.6 Description of token infrastructure

The offer document must include a description of the token infrastructure on which the tokenised units, or tokens held as fund property, are stored, including:

- (a) details of any licences issued by the QFC Authority to token generators who generate tokens on the infrastructure;
- (b) a description of the governance arrangements relating to the infrastructure, including a description of the manner in which the fund manager ensures that fund units are held only by, and transferred only to, persons who are professional investors;
- (c) an explanation of the potential risks associated with use of the infrastructure, including the cyber-attack risks and risks of loss of tokens; and
- (d) a description of the measures taken to mitigate those risks.

S2A.7 Custody of tokens

A description of the manner in which, and by whom, tokenised units, or tokens held as fund property, are to be held, including:

- (a) who provides any custody services; and
- (b) a description of the risks associated with custody of tokens, such as the consequences of loss of cryptographic keys (private and public), hacking of hot wallets, loss, theft or destruction of cold wallets and whether and how such risks are addressed.

S2A.8 Technology declaration

A declaration that any token infrastructure on which the tokenised units, or tokens held as fund property, are stored has been developed with due regard to any token technology guidance published by the Qatar Financial Centre Authority under article 11 of the Digital Asset Regulations 2024.

Explanatory note

This amendment sets out the additional content that must be contained in the offer document for a tokenised fund or a token investing fund.